THE BLACKPOOL FOOTBALL CLUB.LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2020

Company Registration No. 00048409 (England and Wales)

THE BLACKPOOL FOOTBALL CLUB.LIMITED

COMPANY INFORMATION

Directors	Mr B Gerrity	
	Mr S Sadler	
	Mr B Mansford	(Appointed 1 November 2019)
Company number	00048409	
Registered office	Bloomfield Road Seasiders Way Blackpool Lancashire FY1 6JJ	
Auditor	Champion Accountants LLP 1 Worsley Court High Street Worsley Manchester M28 3NJ	

THE BLACKPOOL FOOTBALL CLUB.LIMITED

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THE BLACKPOOL FOOTBALL CLUB.LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2020

The directors present the strategic report for the year ended 30 June 2020.

Fair review of the business

The principal activity of the company is that of a professional football club. In the year under review the club was in League 1, the third tier of English professional football.

In the FA Cup the club reached the third round, losing to Reading in a replay. The club was knocked out in the first round of the League Cup and the second round of the EFL Trophy.

The club participated in League 1 for the 2019/2020 season for the third consecutive year. Football League Distributions remained at similar levels to 2018/19. Commercial revenues rose sharply, driven by a significant increase in season ticket holders.

On 9 June 2020 the League 1 season was curtailed following the outbreak of Covid-19. The club had completed 35 games with final league standings being determined by a points-per-game method which left the club in 13th place.

Principal risks and uncertainties

The principal risk facing the club continues to be its divisional status in the professional football league due to the material effect a change in this has on all revenue streams. Furthermore, the directors consider that any changes in regulations imposed by the football regulatory authorities could similarly impact on revenue streams.

The directors have assessed the risks the Covid-19 pandemic on the various revenue streams. Throughout the pandemic, measures have been taken to ensure the clubs budgets and forecasts reflect up-to-date government guidelines.

The board and senior management regularly meet to ensure risks are identified and appropriate action is taken.

Development and performance

The directors are focused on achieving promotion to the Championship. The strategy to achieve this objective includes the following key elements:

- Identifying talented players through the club's scouting network. Securing suitable players on contracts within financial parameters.
- Developing young players through the club's academy system.
- Continuing to develop the club commercially to maximise revenue streams.

Key performance indicators

Season ticket sales are considered to be a key performance indicator, and numbers sold in the season under review more than trebled in comparison to the 2018/19 season.

Despite the effects of Covid-19, turnover increased to £5.5m, compared to £4.6m in the previous year. This rise is largely driven by the increase in commercial revenues following the end of the fan led boycott impacting previous years.

On behalf of the board

Mr B Mansford
Director

26 May 2021

THE BLACKPOOL FOOTBALL CLUB.LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2020

The directors present their annual report and financial statements for the year ended 30 June 2020.

Principal activities
The principal activity of the company continued to be that of a professional football club.

Results and dividends
The results for the year are set out on page 7.

No ordinary dividends were paid. The directors do not recommend payment of a final dividend.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

Mr B Gerrity
Mr S Sadler
Mr B Mansford (Appointed 1 November 2019)

Auditor
The auditor, Champion Accountants LLP, is deemed to be reappointed under section 487(2) of the Companies Act 2006.

Statement of disclosure to auditor
So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, the directors individually have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

On behalf of the board

Mr B Mansford
Director

26 May 2021

THE BLACKPOOL FOOTBALL CLUB.LIMITED

DIRECTORS' RESPONSIBILITIES STATEMENT

FOR THE YEAR ENDED 30 JUNE 2020

The directors are responsible for preparing the annual report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

THE BLACKPOOL FOOTBALL CLUB.LIMITED

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF THE BLACKPOOL FOOTBALL CLUB.LIMITED

Opinion

We have audited the financial statements of The Blackpool Football Club.Limited (the 'company') for the year ended 30 June 2020 which comprise the profit and loss account, the statement of comprehensive income, the balance sheet, the statement of changes in equity and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2020 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

We have nothing to report in respect of the following matters in relation to which the ISAs (UK) require us to report to you where:

- the directors' use of the going concern basis of accounting in the preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

Other information

The other information comprises the information included in the annual report other than the financial statements and our auditor's report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report and the directors' report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Mark Turner FCA (Senior Statutory Auditor)
For and on behalf of Champion Accountants LLP

28 May 2021

Chartered Accountants
Statutory Auditor

1 Worsley Court
High Street
Worsley
Manchester
M28 3NJ

THE BLACKPOOL FOOTBALL CLUB.LIMITED

PROFIT AND LOSS ACCOUNT

FOR THE YEAR ENDED 30 JUNE 2020

	Notes	2020 £	2019 £
Turnover	**3**	5,516,522	4,635,956
Cost of sales		(670,918)	(575,540)
Gross profit		4,845,604	4,060,416
Administrative expenses		(9,714,148)	(7,051,653)
Other operating income		1,083,372	607,853
Operating loss	**4**	(3,785,172)	(2,383,384)
Interest payable and similar expenses	**6**	(3,140)	-
Profit/loss on disposal of players' registrations	**7**	1,384,921	218,557
Director's loan converted to gift		173,296	-
Exceptional items		-	(476,035)
Loss before taxation		(2,230,095)	(2,640,862)
Tax on loss	**8**	-	-
Loss for the financial year		(2,230,095)	(2,640,862)

The profit and loss account has been prepared on the basis that all operations are continuing operations.

THE BLACKPOOL FOOTBALL CLUB.LIMITED

STATEMENT OF COMPREHENSIVE LOSS

FOR THE YEAR ENDED 30 JUNE 2020

	2020 £	2019 £
Loss for the year	(2,230,095)	(2,640,862)
Other comprehensive income	-	-
Total comprehensive loss for the year	(2,230,095)	(2,640,862)

THE BLACKPOOL FOOTBALL CLUB.LIMITED

BALANCE SHEET

AS AT 30 JUNE 2020

	Notes	2020		2019	
		£	£	£	£
Fixed assets					
Intangible assets	**9**		544,081		-
Tangible assets	**10**		617,743		299,621
			1,161,824		299,621
Current assets					
Stocks	**11**	49,676		44,317	
Debtors	**12**	1,688,468		974,859	
Cash at bank and in hand		204,194		198,897	
		1,942,338		1,218,073	
Creditors: amounts falling due within one year	**13**	(6,385,958)		(2,856,431)	
Net current liabilities			(4,443,620)		(1,638,358)
Total assets less current liabilities			(3,281,796)		(1,338,737)
Creditors: amounts falling due after more than one year	**14**		(287,036)		-
Net liabilities			(3,568,832)		(1,338,737)
Capital and reserves					
Called up share capital	**19**		37,500		37,500
Share premium account			1,860,174		1,860,174
Capital redemption reserve			2,335		2,335
Profit and loss reserves			(5,468,841)		(3,238,746)
Total equity			(3,568,832)		(1,338,737)

The financial statements were approved by the board of directors and authorised for issue on 26 May 2021 and are signed on its behalf by:

Mr B Mansford
Director

Company Registration No. 00048409

THE BLACKPOOL FOOTBALL CLUB.LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2020

	Share capital	Share premium account	Capital redemption reserve	Profit and loss reserves	Total
	£	£	£	£	£
Balance at 1 July 2018	37,500	1,860,174	2,335	(597,884)	1,302,125
Year ended 30 June 2019:					
Loss and total comprehensive income for the year	-	-	-	(2,640,862)	(2,640,862)
Balance at 30 June 2019	37,500	1,860,174	2,335	(3,238,746)	(1,338,737)
Year ended 30 June 2020:					
Loss and total comprehensive income for the year	-	-	-	(2,230,095)	(2,230,095)
Balance at 30 June 2020	37,500	1,860,174	2,335	(5,468,841)	(3,568,832)

1 Accounting policies

Company information

The Blackpool Football Club.Limited is a private company limited by shares incorporated in England and Wales. The registered office is Bloomfield Road, Seasiders Way, Blackpool, Lancashire, FY1 6JJ.

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary a mounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention, modified to include the revaluation of freehold properties and to include investment properties and certain financial instruments at fair value. The principal accounting policies adopted are set out below.

This company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements:

- Section 4 'Statement of Financial Position': Reconciliation of the opening and closing number of shares;
- Section 7 'Statement of Cash Flows': Presentation of a statement of cash flow and related notes and disclosures;
- Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instrument Issues': Carrying amounts, interest income/expense and net gains/losses for each category of financial instrument; basis of determining fair values; details of collateral, loan defaults or breaches, details of hedges, hedging fair value changes recognised in profit or loss and in other comprehensive income;
- Section 26 'Share based Payment': Share-based payment expense charged to profit or loss, reconciliation of opening and closing number and weighted average exercise price of share options, how the fair value of options granted was measured, measurement and carrying amount of liabilities for cash-settled share-based payments, explanation of modifications to arrangements;
- Section 33 'Related Party Disclosures': Compensation for key management personnel.

The financial statements of the company are consolidated in the financial statements of Blackpool Football Club Holdings Ltd. These consolidated financial statements are available from its registered office, 3rd Floor 1 Ashley Road, Altrincham, Cheshire, WA14 2DT.

1.2 Going concern

At the time of approving the financial statements, the directors have a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future. Thus the directors continue to adopt the going concern basis of accounting in preparing the financial statements.

The directors continue to assess the uncertainties surrounding Covid-19 and will take the necessary action to mitigate its impact where possible. Detailed cash flow forecasts have been prepared under various scenarios, extending beyond 12 months from the date of signing these financial statements, which demonstrate that the company has adequate resources to continue in operation for the foreseeable future.

1 Accounting policies **(Continued)**

1.3 Turnover

Turnover is recognised at the fair value of the consideration received or receivable for goods and services provided in the normal course of business, and is shown net of VAT and other sales related taxes.

Television and media income is recognised over the course of the season. Season ticket and gate receipt income is recognised at the point the relevant match is played. Sponsorship income is recognised over the term of the contract. Catering, retail and merchandise sales are recognised at the point of sale.

When cash inflows are deferred and represent a financing arrangement, the fair value of the consideration is the present value of the future receipts. The difference between the fair value of the consideration and the nominal amount received is recognised as interest income.

1.4 Intangible fixed assets other than goodwill

Intangible assets represent guaranteed transfer fees and associated costs payable, in relation to the transfer of players' registrations. These amounts are amortised as follows:

Players' registrations	Over the remaining term of the contract

1.5 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Leasehold land and buildings	5% straight line
Plant and equipment	10% straight line
Fixtures and fittings	33% straight line
Motor vehicles	25% straight line

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

1.6 Impairment of fixed assets

At each reporting period end date, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

1 Accounting policies **(Continued)**

Recognised impairment losses are reversed if, and only if, the reasons for the impairment loss have ceased to apply. Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

1.7 Stocks

Stocks are stated at the lower of cost and estimated selling price less costs to complete and sell. Cost comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the stocks to their present location and condition.

At each reporting date, an assessment is made for impairment. Any excess of the carrying amount of stocks over its estimated selling price less costs to complete and sell is recognised as an impairment loss in profit or loss. Reversals of impairment losses are also recognised in profit or loss.

1.8 Cash and cash equivalents

Cash and cash equivalents are basic financial assets and include cash in hand, deposits held at call with banks, other short-term liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities.

1.9 Financial instruments

The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the company's balance sheet when the company becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset, with the net amounts presented in the financial statements, when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised.

Other financial assets

Other financial assets, including investments in equity instruments which are not subsidiaries, associates or joint ventures, are initially measured at fair value, which is normally the transaction price. Such assets are subsequently carried at fair value and the changes in fair value are recognised in profit or loss, except that investments in equity instruments that are not publicly traded and whose fair values cannot be measured reliably are measured at cost less impairment.

1 **Accounting policies** **(Continued)**

Impairment of financial assets

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the company transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the company after deducting all of its liabilities.

Basic financial liabilities

Basic financial liabilities, including creditors, bank loans, loans from fellow group companies and preference shares that are classified as debt, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest. Financial liabilities classified as payable within one year are not amortised.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

Other financial liabilities

Derivatives, including interest rate swaps and forward foreign exchange contracts, are not basic financial instruments. Derivatives are initially recognised at fair value on the date a derivative contract is entered into and are subsequently re-measured at their fair value. Changes in the fair value of derivatives are recognised in profit or loss in finance costs or finance income as appropriate, unless hedge accounting is applied and the hedge is a cash flow hedge.

Debt instruments that do not meet the conditions in FRS 102 paragraph 11.9 are subsequently measured at fair value through profit or loss. Debt instruments may be designated as being measured at fair value through profit or loss to eliminate or reduce an accounting mismatch or if the instruments are measured and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

1 **Accounting policies** **(Continued)**

Derecognition of financial liabilities

Financial liabilities are derecognised when the company's contractual obligations expire or are discharged or cancelled.

1.10 Equity instruments

Equity instruments issued by the company are recorded at the proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

1.11 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1.12 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

1.13 Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

Assets held under finance leases are recognised as assets at the lower of the assets fair value at the date of inception and the present value of the minimum lease payments. The related liability is included in the balance sheet as a finance lease obligation. Lease payments are treated as consisting of capital and interest elements. The interest is charged to profit or loss so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leases asset are consumed.

Rental income from operating leases is recognised on a straight line basis over the term of the relevant lease. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised on a straight line basis over the lease term.

1.14 Government grants

Government grants are recognised at the fair value of the asset received or receivable when there is reasonable assurance that the grant conditions will be met and the grants will be received.

A grant that specifies performance conditions is recognised in income when the performance conditions are met. Where a grant does not specify performance conditions it is recognised in income when the proceeds are received or receivable. A grant received before the recognition criteria are satisfied is recognised as a liability.

1 Accounting policies **(Continued)**

1.15 Foreign exchange

Transactions in currencies other than pounds sterling are recorded at the rates of exchange prevailing at the dates of the transactions. At each reporting end date, monetary assets and liabilities that are denominated in foreign currencies are retranslated at the rates prevailing on the reporting end date. Gains and losses arising on translation in the period are included in profit or loss.

2 Judgements and key sources of estimation uncertainty

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

3 Turnover and other revenue

	2020	2019
	£	£
Turnover analysed by class of business		
Gate receipts	1,125,791	1,504,870
Season tickets	1,041,857	206,442
League distributions	1,588,394	1,672,860
Bar and food sales	328,976	394,280
Youth development	493,520	485,501
Other	937,984	372,003
	5,516,522	4,635,956

	2020	2019
	£	£
Other significant revenue		
Grants received	423,128	-

	2020	2019
	£	£
Turnover analysed by geographical market		
UK	5,516,522	4,635,956

4 Operating loss

Operating loss for the year is stated after charging/(crediting):	2020 £	2019 £
Government grants	(423,128)	-
Fees payable to the company's auditor for the audit of the company's financial statements	8,000	5,500
Depreciation of owned tangible fixed assets	111,244	51,056
Depreciation of tangible fixed assets held under finance leases	17,254	-
Profit on disposal of tangible fixed assets	(24,000)	-
Amortisation of intangible assets	335,881	67,500
Operating lease charges	-	7,138

5 Employees

The average monthly number of persons (including directors) employed by the company during the year was:

	2020 Number	2019 Number
Footballers, coaches and managers	73	71
Administrative staff	81	43
Total	154	114

In addition, the company engaged on match days an average of 110 part-time temporary staff.

Their aggregate remuneration comprised:

	2020 £	2019 £
Wages and salaries	6,040,731	4,444,216
Social security costs	558,364	242,155
Pension costs	48,471	16,172
	6,647,566	4,702,543

6 Interest payable and similar expenses

	2020 £	2019 £
Interest on finance leases and hire purchase contracts	3,140	-

7 Other gains and losses

	2020	2019
	£	£
Director's loan converted to gift	173,296	-
Profit on transfer of players' registrations	1,384,921	218,557
	1,558,217	218,557

Profit/loss on transfer of players' registrations represents guaranteed transfer fees receivable, less the carrying value of those players at the date of disposal.

8 Taxation

The actual charge for the year can be reconciled to the expected credit for the year based on the profit or loss and the standard rate of tax as follows:

	2020	2019
	£	£
Loss before taxation	(2,230,095)	(2,640,862)
Expected tax credit based on the standard rate of corporation tax in the UK of 19.00% (2019: 19.00%)	(423,718)	(501,764)
Tax effect of expenses that are not deductible in determining taxable profit	214	16,115
Tax effect of income not taxable in determining taxable profit	(1,071)	(113,132)
Unutilised tax losses carried forward	456,626	532,057
Permanent capital allowances in excess of depreciation	(32,051)	(10,471)
Extraordinary items	-	77,195
Taxation charge for the year	-	-

9 Intangible fixed assets

	Players' registrations
	£
Cost	
At 1 July 2019	75,000
Additions	923,209
Disposals	(157,948)
At 30 June 2020	840,261
Amortisation and impairment	
At 1 July 2019	75,000
Amortisation charged for the year	335,881
Disposals	(114,701)
At 30 June 2020	296,180
Carrying amount	
At 30 June 2020	544,081
At 30 June 2019	-

10 Tangible fixed assets

	Leasehold land and buildings	Plant and equipment	Fixtures and fittings	Motor vehicles	Total
	£	£	£	£	£
Cost					
At 1 July 2019	-	894,240	204,568	337,476	1,436,284
Additions	121,838	216,089	50,320	69,015	457,262
Disposals	-	-	(10,642)	(72,280)	(82,922)
At 30 June 2020	121,838	1,110,329	244,246	334,211	1,810,624
Depreciation and impairment					
At 1 July 2019	-	634,946	164,241	337,476	1,136,663
Depreciation charged in the year	625	87,311	23,308	17,254	128,498
Eliminated in respect of disposals	-	-	-	(72,280)	(72,280)
At 30 June 2020	625	722,257	187,549	282,450	1,192,881
Carrying amount					
At 30 June 2020	121,213	388,072	56,697	51,761	617,743
At 30 June 2019	-	259,294	40,327	-	299,621

10 Tangible fixed assets **(Continued)**

The net carrying value of tangible fixed assets includes the following in respect of assets held under finance leases or hire purchase contracts.

	2020	2019
	£	£
Motor vehicles	51,761	-

11 Stocks

	2020	2019
	£	£
Finished goods and goods for resale	49,676	44,317

12 Debtors

	2020	2019
Amounts falling due within one year:	£	£
Trade debtors	1,184,793	548,205
Other debtors	348,330	117,537
Prepayments and accrued income	155,345	309,117
	1,688,468	974,859

13 Creditors: amounts falling due within one year

	Notes	2020	2019
		£	£
Bank loans and overdrafts	**15**	-	3
Obligations under finance leases	**16**	12,827	-
Trade creditors		1,202,353	906,747
Amounts owed to group undertakings		3,576,704	-
Taxation and social security		968,731	421,932
Deferred income	**17**	296,523	974,289
Other creditors		6,229	47,908
Accruals		322,591	505,552
		6,385,958	2,856,431

The hire purchase liability is secured upon the asset to which it relates.

14 Creditors: amounts falling due after more than one year

	Notes	2020 £	2019 £
Obligations under finance leases	16	39,336	-
Other borrowings	15	182,800	-
Other creditors		64,900	-
		287,036	-

The hire purchase liability is secured upon the asset to which it relates.

15 Loans and overdrafts

	2020 £	2019 £
Bank overdrafts	-	3
Other loans	182,800	-
	182,800	3
Payable within one year	-	3
Payable after one year	182,800	-

Other loans are interest free and secured upon future distributions from the English Football League (EFL). Full repayment of this loan is scheduled for 1 April 2024.

16 Finance lease obligations

Future minimum lease payments due under finance leases:	2020 £	2019 £
Within one year	15,967	-
In two to five years	42,476	-
	58,443	-
Less: future finance charges	(6,280)	-
	52,163	-

Finance lease payments represent rentals payable by the company for a motor vehicle. Leases include purchase options at the end of the lease period, and no restrictions are placed on the use of the assets. The average lease term is 3 years. All leases are on a fixed repayment basis and no arrangements have been entered into for contingent rental payments.

17 Deferred income

	2020	2019
	£	£
Other deferred income	296,523	974,289

18 Retirement benefit schemes

	2020	2019
Defined contribution schemes	£	£
Charge to profit or loss in respect of defined contribution schemes	48,471	16,172

The company operates a defined contribution pension scheme for all qualifying employees. The assets of the scheme are held separately from those of the company in an independently administered fund.

19 Share capital

	2020	2019	2020	2019
Ordinary share capital	Number	Number	£	£
Issued and fully paid				
Ordinary shares of £1 each	37,500	37,500	37,500	37,500

20 Operating lease commitments

Lessee

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2020	2019
	£	£
Within one year	695	14,945
Between two and five years	23,496	4,982
	24,191	19,927

21 Related party transactions

	2020	2019
Amounts due to related parties	£	£
Entities with control, joint control or significant influence over the company	3,576,704	-
Other related parties	8,000	-

21 Related party transactions **(Continued)**

The following amounts were outstanding at the reporting end date:

	2020	2019
Amounts due from related parties	**£**	**£**
Other related parties	202,941	-

Other information

Balances due to and from related parties are unsecured, interest free and repayable on demand.

Blackpool F.C. Community Trust currently occupies offices within The Blackpool Football Club. Limited's serviced accommodation rent free. A Deed of Assignment has been made between The Blackpool Football Club. Limited and Blackpool F.C. Community Trust for the occupation of training offices in the stadium for a period of 25 years rent free.

Included within other debtors are amounts due from former related parties totalling £243,250 (2019: £265,902). The amount provided against these balances was £243,250 (2019: £240,124).

22 Ultimate controlling party

The parent company is Blackpool Football Club Holdings Ltd, registered office address: 3rd Floor 1 Ashley Road, Altrincham, Cheshire, WA14 2DT.

The ultimate controlling party is Mr S P Sadler, director and shareholder of the parent company Blackpool Football Club Holdings Ltd.

This document was delivered using electronic communications and authenticated in accordance with the registrar's rules relating to electronic form, authentication and manner of delivery under section 1072 of the Companies Act 2006.